

Amazon.com, Inc.

AMZN NASDAQ

Buy \$254.44 ▼ 1.55% 12M Price Target \$305.00 52-Week Range \$196.00 – \$287.20

Market Cap \$2.74T

AMZN: Ditches Meta's Muse — Protecting Its Shopping Moat

WHAT HAPPENED

- AMZN pulled back 1.55% today after ripping higher yesterday — the big story: Amazon told Meta to remove it from Muse, Meta's new AI shopping agent that Shopify, Twilio, and PayPal are all cozying up to. Translation: Meta is trying to build a shopping layer that sits on top of everyone's storefronts (including AMZN's), and Amazon just said "no thanks, we'll keep our customers to ourselves." That's a defensive move — it tells you Amazon sees Muse as a real threat to their most valuable asset: being the default place people shop.
- Options flow is mixed-to-bearish today (put/call at 0.37 sounds bullish but there's a massive unusual \$255 put block worth \$3M) — someone big is hedging near-term downside into month-end.

WHY IT MATTERS

The Meta-Muse rejection is a bigger deal than the headline suggests. If AI agents become how people shop (you tell an AI "buy me running shoes" and it picks the retailer), whoever owns the agent owns the customer relationship — and Amazon becomes a dumb warehouse. By opting out, Amazon is betting it can build its own AI shopping agent (Rufus) and keep customers inside its walled garden. That's the right move long-term but it means Amazon can't free-ride on Meta's 3 billion users, so watch Rufus adoption metrics closely next earnings. Meanwhile, insider selling (CEO of Stores, SVP) plus cluster selling is a mild yellow flag — not panic, but nobody at the top is buying either.

POLICY & POLITICAL WATCH

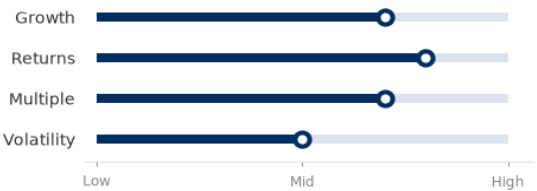
Two policy items to watch: (1) The FTC's antitrust case against Amazon is still grinding through courts — a ruling forcing them to separate the marketplace from logistics would be a nightmare, though timelines suggest no decision until 2027. (2) Tariff policy remains the swing factor — Amazon's third-party sellers source heavily from China, and the current administration's tariff regime is squeezing seller margins, which either hits Amazon's take-rate or gets passed to consumers (bad for volume). Also keep an eye on the Section 230 debate — if AI-generated product recommendations get pulled out of liability protection, Amazon's Rufus rollout gets messier.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$254.44
12M Price Target	\$305.00
Upside / (Downside)	+19.9%
Market Cap	\$2.74T
FY2026E Revenue	\$731M
FY2027E Revenue	\$812M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	37.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$275.00	\$262.00	\$240.00
6 Months	\$310.00	\$285.00	\$230.00
1 Year	\$340.00	\$305.00	\$220.00
2 Years	\$400.00	\$350.00	\$240.00
5 Years	\$550.00	\$450.00	\$280.00
10 Years	\$900.00	\$650.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+6.58% over 5 days) is on fire, led by Meta's AI catalyst — Consumer Discretionary is also quietly up 1.68% which usually helps AMZN. Materials and Staples popped today on a rotation into defensives, suggesting some caution creeping into the tape.

COOLING OFF: Utilities and Staples are flat-to-down over 5 days — the "safety" trade isn't working while AI mania runs.

ROTATION WATCH: Money is flowing into AI infrastructure and platform winners (Meta, Nvidia-adjacent names) — Amazon is caught in the middle because it's both an AI beneficiary (AWS) and a potential AI casualty (retail disruption).

RELATED PLAY: If you believe the AI shopping wars are real, Shopify (SHOP) is the pure-play beneficiary of Meta's Muse — they're the picks-and-shovels for every non-Amazon merchant.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Muse rollout is being received as a legitimate challenge to Amazon's shopping dominance — Wells Fargo raised the price target, and Meta is now the AI narrative leader.
- SHOP (Shopify): Riding Meta's coattails as the "everything-not-Amazon" e-commerce platform — Muse partnership makes their merchants instantly discoverable via AI.

AMZN CONTEXT: Amazon is lagging Meta and Shopify this week, which tells you the market is pricing in some real threat to Amazon's shopping moat. That's a buying opportunity IF you believe Amazon can build a competitive AI agent of its own — which they can, given the data advantage they have on actual purchase behavior.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$245-250 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: AWS growth slows below 15% YoY or FTC antitrust case forces structural breakup

Hedging: Small put position or pair against overheated Meta (META)